

ECN 1215: INTRODUCTION TO MACROECONOMIC THEORY

Pre-requisite: None

Course Aim

This course is designed to introduce students to the study of macroeconomics. The course essentially deals with the concepts of national income determination, money and banking, public finance and international trade. Examples and applications must be drawn from Zambia.

Course Objectives

By the end of this course students are expected to:

- Demonstrate an understanding of the nature and methodology of macroeconomics
- Show knowledge of the concepts of national income determination, money and banking, public finance and international trade
- Demonstrate the foundation necessary for the study of intermediate macroeconomics

Course Content

1. Study and Methodology of Macroeconomics

- Basic Definitions
- Normative and positive approach; policy relevance

2. National Income

- Circular Flow
- National Income Accounting
- Real vs nominal – price indices
- Determinants of national income; income and expenditure model (Keynes in his simplest form)

3. Unemployment

- Definition
- Types
- Causes and cure
- Effects

4. Government Sector

- Public Finance
- The budget incl. debt management
- Fiscal policy

5. The Monetary Sector

- What is money?
- The banking system and the Central Bank
- Monetary Policy

6. Inflation

- Definitions
- Causes and cures
- Effects

7. External Sector

- Trade
- Balance of Payments
- Exchange Rates

Method of Teaching

Four contact hours consisting of three lectures and one tutorial

Course Assessment

Continuous Assessment 50%

- One Assignment 20%
- Two tests 30%

Final Examination 50%

Required Reading

Begg, D., Fischer and R. Dornbusch. Economics (7th Edition). London: McGraw-Hill, 2003

Recommended Reading

Harwick, P.B. Khan and J. Langmead. Introduction to Modern Economics. London: Longman, 2006.